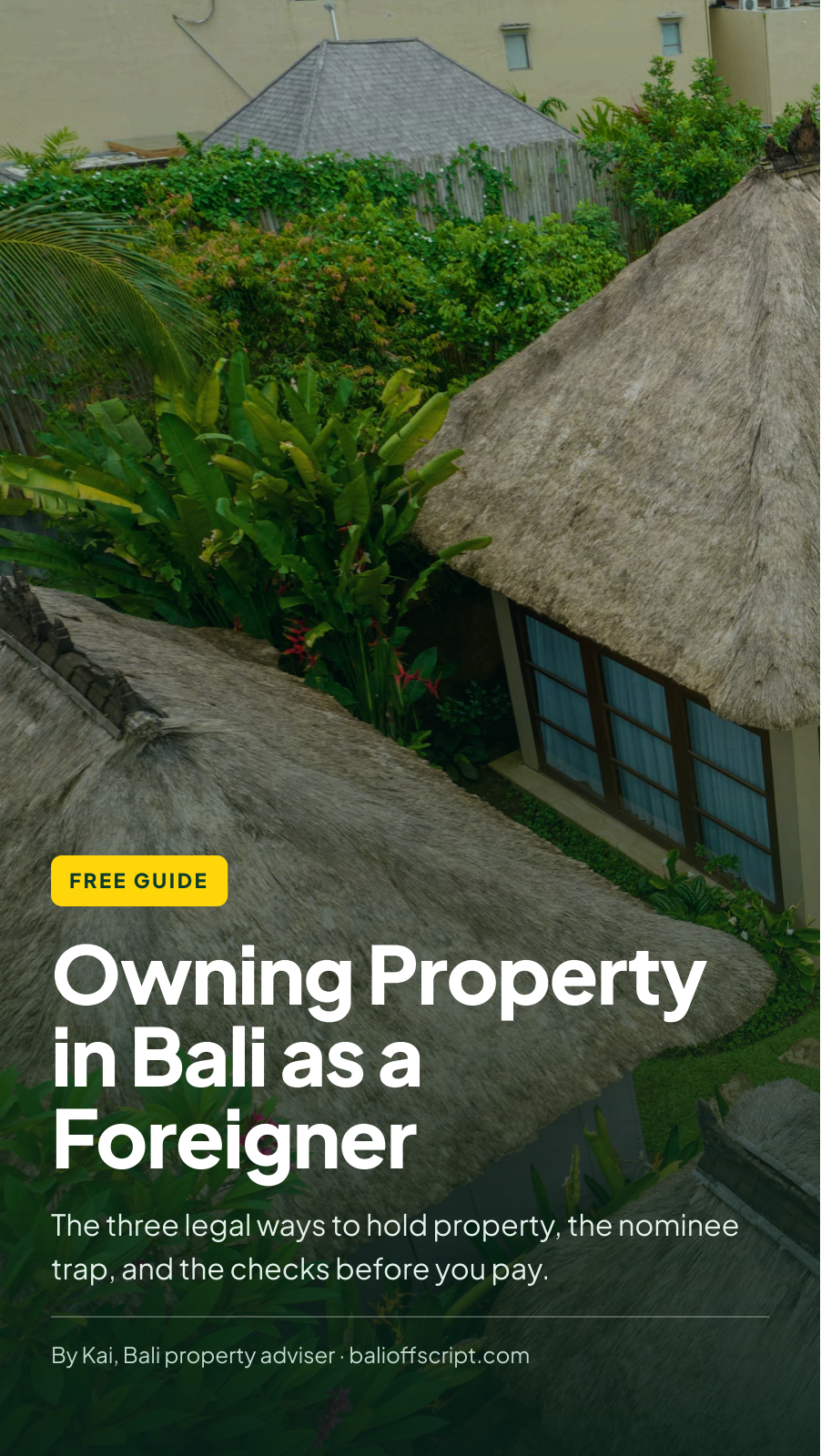


A high-angle photograph of a tropical garden. In the foreground, there are two buildings with traditional thatched roofs. The building on the right has a window with blue curtains. The garden is filled with various tropical plants, including large green leaves and red flowers. In the background, a modern building with a grey roof and a beige wall is visible.

FREE GUIDE

Owning Property in Bali as a Foreigner

The three legal ways to hold property, the nominee trap, and the checks before you pay.

By Kai, Bali property adviser · balioffscript.com



THE ONE RULE

Foreigners can't own **freehold** in Bali.

Freehold (Hak Milik) is for Indonesian citizens only. No structure changes that. Anything sold to you as "freehold" is something else.

3

legal ways for a foreigner to hold property. Each one works well when the paperwork is clean.

Side by side

1. Leasehold

A notarised contract in your own name, usually 25 to 30 years. Any visa, no company, no minimum value. Not registered at the land office.

2. Hak Pakai

A registered right of use in your own name. Needs residency (KITAS or KITAP) and a minimum property value. For a home you live in.

3. HGB through a PT PMA

A building right held by your own foreign-owned company. For a real business, with yearly accounts, filings and audits.

Most people buying a home or a rental villa start with a well-written lease.

The lease is only as good as its last page.

1 At the end, the building goes to the landowner

Unless the contract says otherwise. The extension clause carries the value.

2 80-year leases are built in steps

An initial term plus agreed extensions. Read how each extension is priced.

3 No bank mortgage

There's no registered interest to lend against, so most buyers pay cash.

4 You can only sell if the deed allows it

Assignment has to be written in.

5 Your heirs only inherit if it says so

Draft the lease to bind heirs.



THE TRAP

Never buy through a nominee.

A nominee puts an Indonesian person's name on the certificate, with side contracts that are supposed to protect you.

Void

Nominee arrangements have no standing in Indonesian law.

4/2026

Perda Bali 4/2026 prohibits helping to set them up.

Certificate

If the nominee dies or borrows against it, the name on the paper wins.

Six checks, in this order

- 1 The certificate**
Your own notary checks it at the land office (BPN).
- 2 The zoning**
Green zone is farmland. A villa there has no legal footing.
- 3 The building approval (PBG)**
Every structure on the plot needs one.
- 4 The fit-for-use certificate (SLF)**
Without it the building isn't lawfully occupiable and is hard to sell.
- 5 Everyone who must sign**
Spouses and heirs too, not only the person in front of you.
- 6 The extension clause**
A price and a process, not "to be discussed".

What you pay, in short

Rental income, resident	10% final
Rental income, non-resident	20%
Accommodation tax on stays	10%
Land and building tax (PBB)	0.1–0.5%/yr
When you sell	2.5% of value

If a seller says the papers come after the deposit, that tells you everything.

You don't have to do this alone.

I'll tell you which of the three routes fits your plan, find the property and check every document before any money moves.

1 I find the land

In the area and budget that fit your plan, with the zoning checked first.

2 I find the right property or project

Built, off-plan or land to build on. I look at all of them, so you see the honest options.

3 I check everything before you pay

Certificate, zoning, permits, the lease clauses and the seller.

4 I stay with you to the notary

Questions answered straight, in plain words, until the keys are yours.

Message me on WhatsApp

Tell me the area, your budget and your timing, and I'll tell you what I would check first. This guide is general information, not legal or tax advice. Rules change: verify with your own notary before you sign.